

CFO SUMMARY

NovaTech Consulting Lda. — CFO Summary

Variance Analysis: Actual 2024 vs Budget 2025

Performance Overview

Actual 2024 results came in below the 2025 budget across revenue and EBITDA. The variance pattern is consistent and proportional, indicating that the shortfall is volume-driven rather than efficiency-driven.

Operational discipline remained strong, with costs adjusting naturally to lower activity levels.

Revenue

Total revenue finished 8.6% below budget, with both Consulting and Managed Services showing identical percentage deviations.

- **Consulting Fees:** Lower productive capacity (FTEs below plan) and fewer billable hours. No pricing or mix issues.
- **Managed Services:** Uniform negative variance suggests contract renewals below expectations or unplanned churn.

Conclusion:

The revenue gap is structural and tied to lower activity levels, not execution failures.

Costs

Total costs were 8.6% below budget, fully aligned with the revenue shortfall.

- **Personnel:** Lower costs reflect reduced headcount/activity, not true savings.
- **Operations:** Variable costs scaled down appropriately with volume.
- **Other Costs:** Slightly less proportional due to a small fixed component.

Conclusion:

Cost discipline remains strong. No overspend or operational inefficiencies detected.

EBITDA

EBITDA finished below budget in absolute terms, driven almost entirely by the revenue shortfall.

- Cost structure remained efficient.
- Margin compression is a direct consequence of insufficient revenue to absorb fixed costs.
- The business operated below the activity level assumed in the budget.

Conclusion:

The issue is top-line, not bottom-line. EBITDA underperformance is volume-driven, not cost-driven.

Key Takeaways for Management

- Strengthen commercial pipeline and utilization to restore planned activity levels.
- Review MS contract renewal strategy to mitigate recurring revenue erosion.
- Validate staffing plan vs. demand to avoid structural under-capacity.
- Maintain current cost discipline — no corrective action required on the cost side.